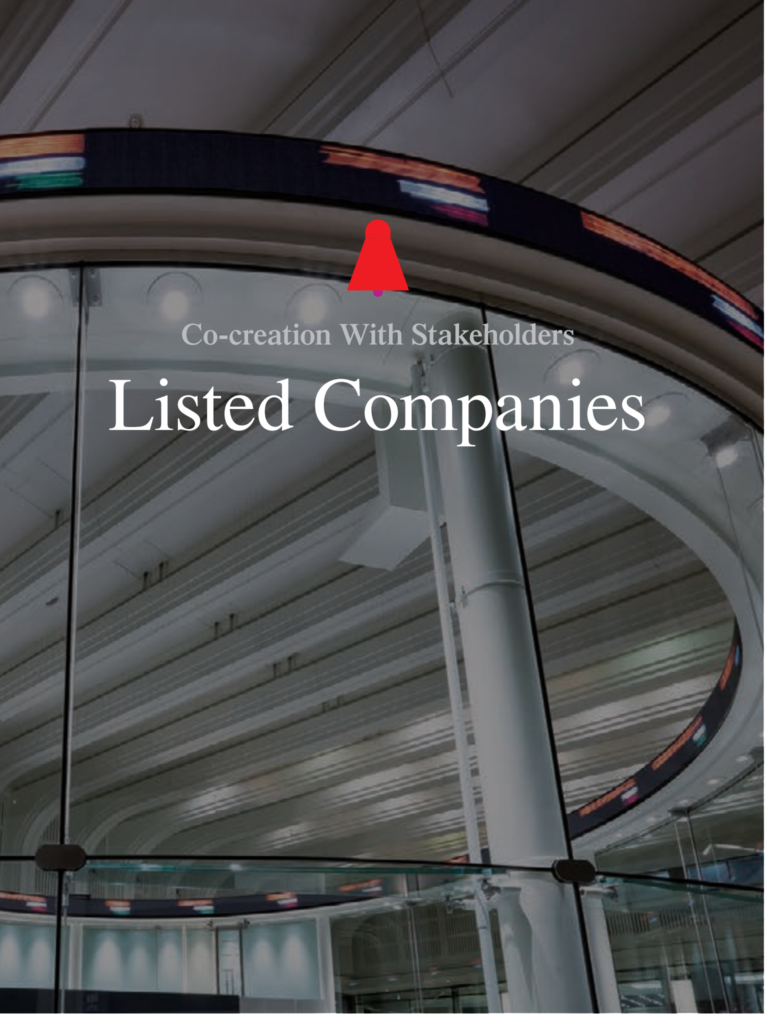
Chapter 3

Co-creation With Stakeholders

Through dialogue with market users, such as listed companies and investors, as well as other diverse stakeholders, JPX Group aims to address corporate management with an understanding of social changes from diverse perspectives, thereby contributing to bringing about a sustainable society and economy together with our stakeholders by providing solutions for a wide range of societal issues.



Co-creation With Stakeholders

Listed Companies

Approach

In order to achieve JPX Group's long-term vision of realizing a sustainable society and economic development, it is essential that we create a virtuous cycle in which we promote the innovation and growth of the listed companies that support society and the economy, the fruits of which lead to asset formation for the people of Japan and generate further innovation and growth. JPX Group supports listed companies' efforts to enhance their corporate value by providing a smooth supply of funds and by developing a foundation for dialogue with investors.

Initiatives

Promotion of Management That Is Conscious of Cost of Capital and Stock Price and the Functionality of the Growth Market

In March 2023, we requested all listed companies in the Prime and Standard Markets to implement "Management that is Conscious of Cost of Capital and Stock Price." As of June 2025, 91% of companies in the Prime Market and 49% of companies in the Standard Market have made disclosures based on this request. To encourage more efficient efforts, TSE published "Cases Where Companies Are Not Aligned With Investors' Perspectives" in November 2024, and has been identifying companies wanting contact from institutional investors since January 2025.

In addition, we aim to make the Growth Market "a market where companies aiming for high growth gather" and are advancing measures to encourage each company to continually work toward high growth, both before and after listing, in order to pursue "growth" as the intrinsic characteristic of the market. Specifically, we plan to advance initiatives for generating IPOs that lead to high growth after listing, in collaboration with securities companies and other industry players, and encourage listed companies to improve their growth strategies after analyzing their growth status. In addition, we intend to revise the continued listing criteria to foster quick growth in listed companies in the Growth Market to a size that institutional investors can target for investment as well as from the perspective of stimulating the Japanese economy through M&A and newly founded companies.

Considerations/Information Disclosure on Approach to Group Management in Parent-Subsidiary Listings

For capital markets to fully function, it is vital to create an environment that fosters trust in the fairness of the market and where investors, including minority shareholders, can participate with confidence. It is also extremely important to properly protect minority shareholders, particularly in relation to companies in a parent-subsidiary relationship. Furthermore, demand for management that is conscious of shareholders and investors has intensified in recent years. With progress in initiatives such as business portfolio revisions at listed companies, investors are also calling for consideration to be given from a group management perspective, such as whether a structure like a parent-subsidiary listing is the best way of improving medium- to long-term corporate value.

In view of this situation, TSE is calling on listed companies in parent-subsidiary relationships and quasi-controlling/quasi-controlled relationships to enhance initiatives and disclosure relating to group management and the protection of minority shareholders. We published "The Investor's Perspective on Such Matters as Parent-Subsidiary Listings" in February 2025 as a reference for listed companies' initiatives and disclosures.

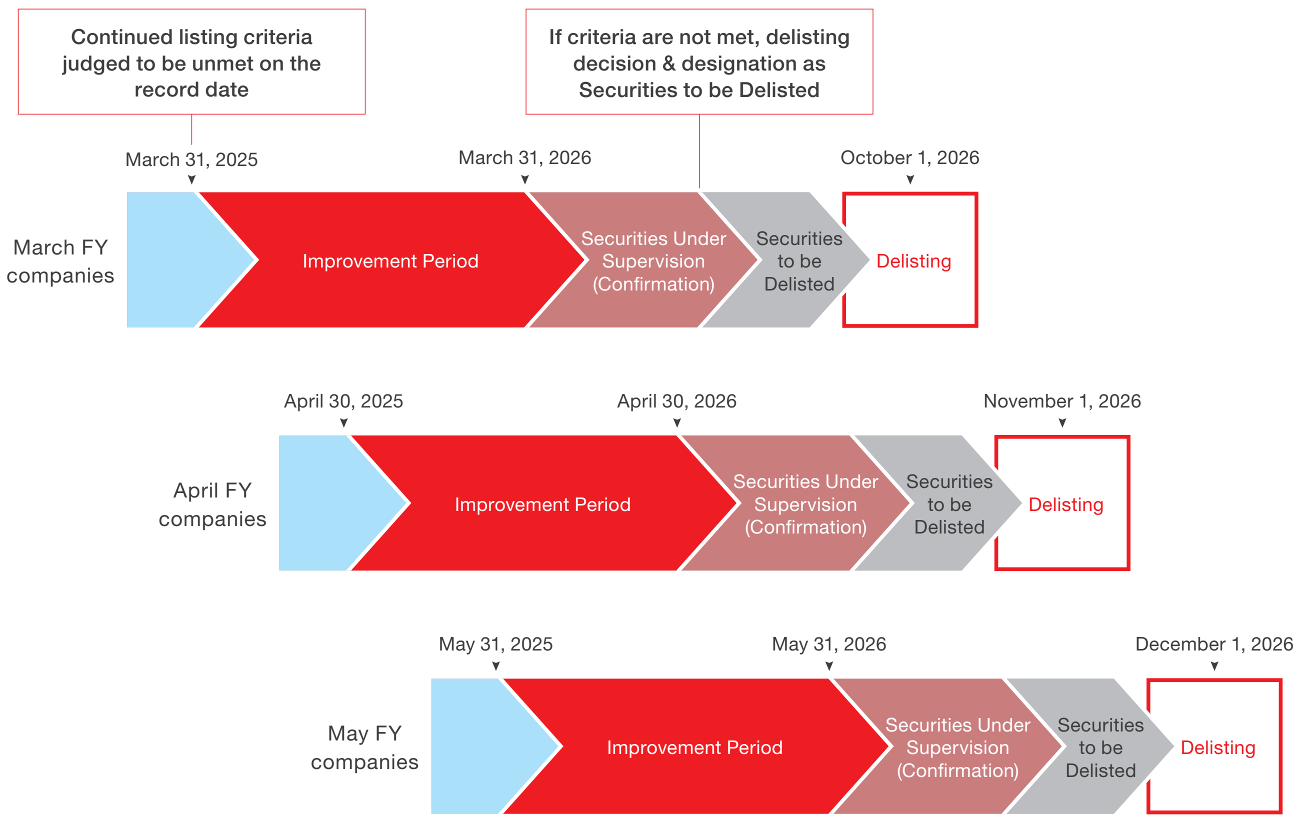
We will continue to follow up on the status of initiatives and disclosures relating to group management and the protection of minority shareholders. We will also continue considering necessary improvements to the listing rules from the perspective of protecting minority shareholders, such as ensuring the independence of subsidiaries' independent directors.

End of Transitional Measures for the Continued Listing Criteria

In light of the partial revision of the continued listing criteria with the market restructuring in April 2022, relaxed criteria have been applied as a transitional measure for companies that listed prior to the restructuring. However, these transitional measures expired in March 2025. From the record dates falling on or after March 1, 2025, if a listed company does not meet the continued listing criteria, it will enter an improvement period of one year, and if it fails to meet the criteria within the improvement period, it will be delisted.

Since the expiration of transitional measures could lead to delisting, TSE has requested listed companies in an improvement period to utilize financial results announcements, general shareholders' meetings, and other opportunities to thoroughly explain to their shareholders and investors matters including the progress of initiatives for meeting the criteria and the risk of delisting. In addition, TSE will continue to encourage companies expected to be unable to meet the criteria that, as the next best option, they should give necessary consideration to matters including an M&A with another company or change of market segment. We have also set up a dedicated page on the JPX website that provides a guide on matters including the schedule for the expiration of transitional measures and a list of companies in an improvement period. We will take appropriate measures to ensure investors are also aware, such as by asking securities companies to cooperate in informing their clients.

Examples of schedules for improvement periods following the expiration of transitional measures



Co-creation With Stakeholders

Retail Investors

Financial and Economic
Education for Retail Investors

Approach

To achieve "Forge a new era for the Japanese stock market," a core strategy of the Medium-Term Management Plan 2027, JPX Group seeks to generate social value by resolving the national challenge of improving financial literacy through the provision of financial and economic education focused on investing for a broad audience, from elementary school students to senior citizens. Furthermore, we contribute to expanding the investor base and developing the Japanese stock market through the promotion of activities that communicate the appeal of Japanese stocks, and aim to improve JPX Group's economic value by encouraging a virtuous cycle of growth and distribution.

Initiatives

Role of Financial and Economic Education

In Japan, the amount of household financial assets continues to increase year by year, totaling more than JPY 2.23 quadrillion at the end of 2024, the highest ever level. However, these assets are still not being fully utilized. Statistics on the composition of Japanese household financial assets indicate that cash and deposits account for a high proportion, approximately 50.9% of the total, while stocks, investment trusts, and similar investment instruments account for only approximately 19.5%.

Japan faces the problems of a shrinking workforce and the limits of its social security system. How to use its assets as efficiently as possible to generate economic growth for the next generation is a major issue. We believe it is important to resolve the national challenge of improving financial literacy as it will enable funds raised through investment to support corporate innovation and growth, and the fruits of this innovation and growth will lead to asset formation among citizens, creating a cycle of further innovation and growth. JPX Group provides accurate financial knowledge from its impartial, neutral position as a capital market operator, helping to resolve challenges by improving the financial literacy of all individuals.

In its "Doubling Asset-Based Incomes Plan" that it announced in November 2022, the Japanese government has also stated a "shift from savings to investment" as one of its goals and has specified "enhancing financial and economic education" as one of the pillars by which to achieve it. Financial education is being promoted for the entire country by the public and private sectors in tandem.

Developing Programs for All Ages Under the JPX Manebu Lab Brand

In view of the importance of financial and economic education, JPX Group has been providing a variety of educational programs to provide support for the promotion of asset formation by individuals that is tailored to a range of different needs.

The environment surrounding retail investors has changed dramatically in recent years. While asset formation has become more familiar with the spread of the new NISA scheme, the growing awareness of SDGs and ESG investments, the spread of financial technology, and the popularization of information sharing through social media, it is becoming increasingly important for the stable asset formation of all citizens that they build accurate knowledge and make their own independent decisions.

Out of recognition of these issues, and from its impartial, neutral position as a capital market operator, JPX Group has chosen to strengthen and improve its financial and economic education activities, efforts symbolized by the April 2022 launch of the new "JPX Manebu Lab" brand. Various programs are being developed under this brand in a unified and systematic manner to provide accurate financial knowledge that aids in an individual's money and life planning.

"JPX Manebu Lab" Report 2025
https://www.jpx.co.jp/corporate/learning/resources/manebu_report.pdf
(only in Japanese)

JPX Manebu Lab (JPX Group's Financial and Economic Education)

Category		Outline	FY2024 Results
For working adults	Seminar Manebu	Seminars for all ages on a variety of themes	■ Online seminar viewers Approx. 580,000 ■ Attendees at face-to-face seminars/events Approx. 6,800
	TSE Manebu	JPX's owned media service, launched in December 2016. Articles planned by the editorial team, as well as a wide range of contributions from securities companies, asset management companies, and others	■ Approx. 1.40 million PVs/month (average)
	Training Manebu (Formerly Workplace Manebu)	A lecturer dispatch service, launched in August 2017. Dispatch of lecturers well-versed in finance and capital markets to provide support in asset formation for everyone in an organization from a fair and impartial standpoint	■ Attendees Approx. 6,500 ■ Number of lectures held Approx. 110
For students	School Manebu	Provision of diverse content for children and students, and teachers	■ Lessons for elementary school through high school Approx. 9,500 participants (156 sessions) ■ Economics lectures for parents and children Approx. 1,300 participants (37 sessions) ■ Lessons for teachers Approx. 770 participants (13 sessions)
	Campus Manebu	Provision of lectures and events for undergraduate and graduate university students	■ Attendees Approx. 8,200 (approx. 130 sessions) ■ Sponsored courses Six schools
Facility tours	Tours	Provision of self-guided tours and guided tours	■ TSE Arrows ■ OSE Gallery Approx. 49,000 participants

Notes: 1. For specific details of activities, please see "JPX Manebu Lab" Report 2025.
2. In addition to the above, together with the Ministry of Economy, Trade and Industry (METI), each year we select and announce listed companies that are engaged in superior efforts with regard to specific themes such as digital transformation (DX) and women's empowerment in order to provide individuals with an opportunity to consider stock investing.

Co-creation With Stakeholders

Institutional Investors

Japanese and Overseas Institutional Investors

Approach

Japanese and overseas institutional investors are important players in the Japanese market, accounting for approximately 70% of the trading value at Tokyo Stock Exchange (TSE). In order for the Japanese market to continue to develop into an even more convenient market and for JPX Group to realize its long-term vision of becoming a "global, comprehensive finance and information platform," we believe it is important to promptly reflect the real voices of institutional investors—the main users of the market—in the development of JPX Group market rules and operational improvements, and we are committed to proactive communication.

Initiatives

Japanese Institutional Investors

In order to improve market convenience for investors, we exchange ideas with Japanese institutional investors on a regular basis and use those ideas to revise the market rules and improve system functions. For example, in order to promote the ETF market, we exchange ideas with domestic financial institutions, hold institutional investor seminars every other month, conduct an annual ETF institutional investor survey, and carry out other activities. Through these, we not only introduce the ETF market, but also conduct interviews about product needs and requests to improve the rules to suit the market environment. Reflecting the needs of institutional investors through such activities, the number and trading value of listed ETF issues continue to increase. The Request for Quote (RFQ) platform "CONNEQTOR," provided by TSE with the aim of increasing the liquidity of the ETF market, is used by more than 300 Japanese and overseas financial institutions and other institutional investors, and total monthly trading value surpassed JPY 300 billion in April 2025.

ETF seminar for institutional investors

We also utilize the views of institutional investors in our product design and market operations in the derivatives field. With asset management by institutional investors becoming more sophisticated due to changes in the market environment toward the normalization of interest rates, there is more and more demand for utilizing interest rate derivatives such as 3-Month TONA Futures as well as flex contracts on equity derivatives such as securities options. When designing products and the market in these areas, we exchanged ideas with a broad range of investors and have reflected the opinions received. Furthermore, in May 2025, in response to demand from Japanese and overseas investors, we revised the contracts for TOPIX Futures (added more and longer-term contracts), added Wednesday expirations for Nikkei 225 mini Options, and carried out other initiatives.

In addition, we established the new "Kitahama Investment Academy Professional" in October 2022 as a platform for providing information to market stakeholders. Through its establishment, we have created an environment where users can systematically learn not only about our initiatives but gain a broad overview of derivatives trading and characteristics of market trends from financial to commodity derivatives. We are also engaged in the timely provision of information through the utilization of social media. We intend to further invigorate the derivatives market through these activities.

Overseas Institutional Investors

Overseas investors account for 60% of the trading value of JPX Group's markets. JPX Group gives explanations to and exchanges ideas with them about its market rules at both its Japanese and overseas offices. There are many types of overseas institutional investors who use a variety of trading strategies, including long-term, quantitative, and market making strategies. We communicate with these investors on a regular basis through 1-on-1 interviews, group meetings and seminars, and information dissemination via LinkedIn, a mainstream social networking service among overseas market stakeholders. Any market-related requests from or issues faced by investors that we obtain through these activities are managed centrally through our client management system. We report such matters to management and work in partnership with the relevant internal departments so that improvements can be made. In light of such investor needs, we make every effort to improve the overall appeal of Japan's financial and capital markets vis-à-vis the world's markets by developing new highly convenient products and considering and launching new data services.

In addition, when striving to "Promote self-led corporate value improvement at listed companies," a main initiative in JPX's Medium-Term Management Plan 2027, we believe that constructive dialogue between companies and Japanese and overseas institutional investors is essential. To promote this, we are encouraging overseas institutional investors to actively engage with listed companies. Furthermore, by making the status of progress in improving corporate governance and capital efficiency awareness of listed companies widely known overseas, we aim to expand awareness of the Japanese market and arouse interest in investment, and in so doing, attract new investors and stimulate trading.

We believe that our efforts to communicate directly with institutional investors on a regular basis and to incorporate the actual opinions of investors into market operations are essential to creating a market that is preferred both in Japan and abroad. We also believe that the results of these steady efforts can contribute to revitalizing the Japanese market and, in addition, improve Japan's international standing.

Sharing via social media (LinkedIn)

European business trip to meet overseas institutional investors

Co-creation With Stakeholders

Shareholders

Approach

JPX actively conducts dialogue with shareholders and investors, aiming to ensure long-term relationships of trust. JPX pursues the development of a fair, transparent, and highly convenient market by actively providing investors with the corporate information necessary for their investment decisions and sharing views obtained from shareholders and investors with the board of directors and all employees, thereby further enhancing our corporate value.

Initiatives

Engagement with Institutional Investors and Analysts: IR Meetings and Conferences

JPX engages in dialogue with Japanese and overseas institutional investors and analysts through, for example, individual meetings conducted by members of management, including the CEO and CFO, and the division responsible for investor relations. In FY2024, we worked to increase opportunities for dialogue via both face-to-face and online meetings, including participation in IR conferences in Japan and abroad, which resulted in us being able to have dialogue with many more investors than in FY2023. Feedback obtained through such meetings and other dialogue is periodically presented to the board of directors, management, and employees, and helps shape the management decisions of JPX Group.

Dialogue with shareholders
https://www.jpx.co.jp/english/corporate/investor-relations/shareholders/dialogue/

Engagement with Institutional Investors and Analysts: Financial Results Briefings, Medium-Term Management Plan Briefing, and Investor Day

In FY2024, in addition to two financial results briefings and a briefing on the Medium-Term Management Plan presented by the CEO, JPX held its Investor Day 2024 to create opportunities for dialogue between investors and senior management of JPX Group companies. Explanatory materials are posted on the website prior to each briefing and the details of Q&A sessions from each briefing are made available on the day or thereafter in both Japanese and English in order to enable investors in Japan and abroad to obtain information in a timely manner.

Engagement with Retail Investors

In FY2024, we held an online outreach event for retail investors, which was attended by approximately 1,390 individuals. JPX also actively provides information to retail investors on its IR website, such as by posting documents, videos, and other content on IR events in a timely manner.

JPX Investor Day 2024 Cash Equity Market

For retail investors (only in Japanese)
https://www.jpx.co.jp/corporate/investor-relations/individual/index.html

IR Email Distribution Service (only in Japanese)
https://www.jpx.co.jp/corporate/investor-relations/ir-mail/index.html

General Shareholders Meeting

Policy on holding Annual General Shareholders Meeting

JPX considers the Annual General Shareholders Meeting (AGSM) to be a valuable opportunity to engage in constructive dialogue in order to deepen shareholders' understanding of JPX. For this reason, we normally hold our AGSM early, avoiding the dates that most other companies whose fiscal year ends in March hold their annual general meetings, making it easier for shareholders to attend. JPX held its AGSM for FY2024 on June 20, 2025.

The AGSM is attended in person not only by the directors and executive officers of JPX, but also those of its subsidiaries and affiliates. This is so that the broad range of shareholder questions, which cover the activities of JPX as a whole, can be answered appropriately by those in charge, including those from subsidiaries and affiliates.

In addition, we receive questions in advance regarding matters to be reported and matters to be resolved at the AGSM from shareholders via our website, and provide answers to questions that seem likely to be of high interest to shareholders on our website prior to the AGSM. Furthermore, we stream the AGSM live on our website so that shareholders who are unable to attend in person can also view the meeting. Shareholders are able to send messages to JPX while viewing the live stream. JPX posts its replies to these messages on its website within a few days following the meeting, and also offers on-demand video recordings of the AGSM on its website so that shareholders can view the meeting later on.

Provision of information to shareholders when holding the AGSM

The notice of the AGSM is a legal document that we use to notify our shareholders about the holding of the AGSM. It plays an important role in providing shareholders with information concerning the agenda for the AGSM. In creating the notice of the AGSM, we strive to enhance its content, such as by actively updating the Medium-Term Management Plan, corporate governance structure, and various other items, as well as endeavor to provide content that is easy to understand through the use of visual aids such as illustrations and charts.

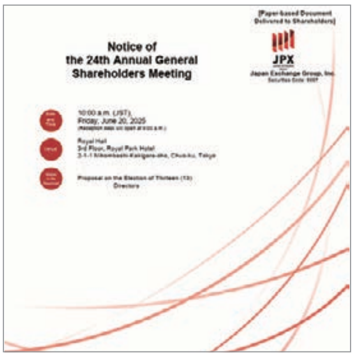
In order to ensure that shareholders can promptly read the notice of the AGSM and have sufficient time to decide how to exercise their voting rights, the Japanese and English versions are published on the JPX website four weeks prior to the meeting and sent out in writing three weeks prior to the meeting. Furthermore, the Annual Securities Report is disclosed approximately one week before the day of the AGSM so that investors can check it in advance.

We further aim to enhance dialogue by simultaneously providing information concerning the AGSM to our foreign shareholders via the Electronic Voting Platform for Institutional Investors provided by Investor Communications Japan, Inc. (ICJ).

Improvements to the environment for exercising voting rights

Shareholders can send in their votes via the internet or the electronic voting platform, as well as in writing (by mail).

General Shareholders Meeting
https://www.jpx.co.jp/english/corporate/investor-relations/shareholders/meeting/index.html



Notice of the Annual General Shareholders Meeting

Annual General Shareholders Meeting

Co-creation With Stakeholders

Environment and Society

Approach

Responses to Environmental Issues

Recognizing that resources are limited, JPX Group has formulated an Environmental Vision and Environmental Policy aimed at creating a sustainable society that balances economic development with environmental conservation. JPX Group contributes to the realization of a sustainable society through dialogue with our stakeholders by clarifying our response policy to environmental issues including climate change.

Respect for Human Rights

With the recognition that respect for human rights is an important factor in achieving our Corporate Philosophy, JPX Group has formulated a Human Rights Policy based on international norms, including the International Bill of Human Rights and the UN Guiding Principles on Business and Human Rights. By publishing this basic policy, we look to fulfill our social responsibility to respect internationally recognized human rights.

Initiatives

Response to Climate Change

In terms of the environment, we recognize our response to climate change as a key area from the perspective of sustainability.

To ensure the security and fairness of trading, even after abolishing the trading floor and transitioning to system-based trade execution, we have pursued efficient and highly transparent price formation, while continuously investing in systems that help acquire increased trading flow and improve convenience. As a result of these efforts, energy consumption by our trading systems and other system infrastructure, particularly electricity consumption, has continuously increased. Of the Group's overall annual electricity consumption of 30 million kWh in FY2020, 80%, or 24.37 million kWh, was consumed by our data centers.

Against this backdrop, given increasing societal demands including the Japanese government's pledge for Japan to become carbon neutral by 2050, in July 2021, JPX Group set a target of carbon neutrality by FY2024, covering direct and indirect emissions in its own operations (Scopes 1 and 2), and since then has worked toward reducing its greenhouse gas (GHG) emissions. For electricity consumption, which was the main source of its emissions, JPX Group has switched 100% of electricity consumed by the group to renewable energy through a combination of various procurement methods (switching electricity contracts, PPAs, etc.) depending on the electricity demand at each site. In addition to this, it is building a renewable energy portfolio with a longer-term outlook by incorporating procurement methods that minimize reliance on external factors, such as the use of JPX-specific renewable energy generation facilities. GHG emissions that cannot be reduced through renewable energy usage (Scope 1 and non-electricity-based Scope 2) have been offset through J-Credits, resulting in the Group achieving its carbon neutrality target in FY2024.

From FY2025, JPX Group will continue to maintain carbon neutrality for its direct and indirect emissions (Scopes 1 and 2), and while providing environmentally friendly market infrastructure, will continue to appropriately manage GHG emissions, including those from stakeholders connected to our businesses (Scope 3), and strive to use science-based methods to limit emissions. Because most of JPX's Scope 3 emissions are related to software development and investment in the system infrastructure that underpins market infrastructure (category 2: capital goods), we will carry out engagement with our partner vendors to consider how to reduce these, thereby contributing to the realization of a decarbonized society.

Furthermore, as part of the "strong management of environmental policy" set out in our Environmental Policy, JPX provides information disclosure in line with the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD) (including scenario analysis) and discloses its transition plan.

TCFD Disclosure
https://www.jpx.co.jp/english/corporate/sustainability/jpx-esg/environment/01.html

GHG Emissions*,,*****

	FY2020	FY2021	FY2022	FY2023	FY2024
Scope 1 (direct CO_2 emissions) (t-CO_2e)***	688	774	824	0 (697)	0 (608)
Scope 2 (indirect CO_2 emissions) (t-CO_2e)***	13,500	11,751	9,041	2,279 (2,402)	0 (105)
Total Scope 3 (t-CO_2e)	24,733	44,110	27,916	32,693	38,276

* Calculated using the most recent Japan Ministry of the Environment's Emissions Intensity Database for Calculating GHG Emissions in Supply Chains at the point of calculation each fiscal year.
** Emissions from overseas offices are included in the totals for FY2021 and FY2022, but have been excluded from FY2023 due to restrictions in collecting the data and the fact that they constitute an extremely small proportion of overall emissions.
*** Calculated using the "market-based" approach defined in the GHG Protocol. Figures in parentheses are pre-offset emissions.
Some emissions that cannot be reduced by switching consumed electricity to renewable energy (emissions from usage of city gas, gasoline, steam/cooling, etc.) have been offset using J-Credits.
**** For more information about Scope 3, please visit the following page on our website: https://www.jpx.co.jp/english/corporate/sustainability/jpx-esg/environment/02.html

Human Rights Policy

With the recognition that respect for the human rights of all people connected to our business activities is essential in promoting continuous market development and the realization of a sustainable and affluent society, JPX Group respects the rights of all people connected to our business activities, in line with international norms and the UN Guiding Principles on Business and Human Rights. We will also prevent and mitigate any adverse impact on human rights connected to our business while taking every care to avoid complicity in human rights violations.

Human Rights Policy
https://www.jpx.co.jp/english/corporate/sustainability/jpx-esg/humanrights/index.html

Implementing Human Rights Due Diligence

Since establishing the JPX Group Human Rights Policy in March 2022, we have worked to raise awareness of the policy through regular e-learning for all officers and employees, notifications to trading participants using the market, and dialogue with our main business partners and resident support staff (including their staffing agencies). Additionally, JPX Group incorporates human rights into its management system by providing at least one report annually to the board of directors and including it in the company-wide risk management process.

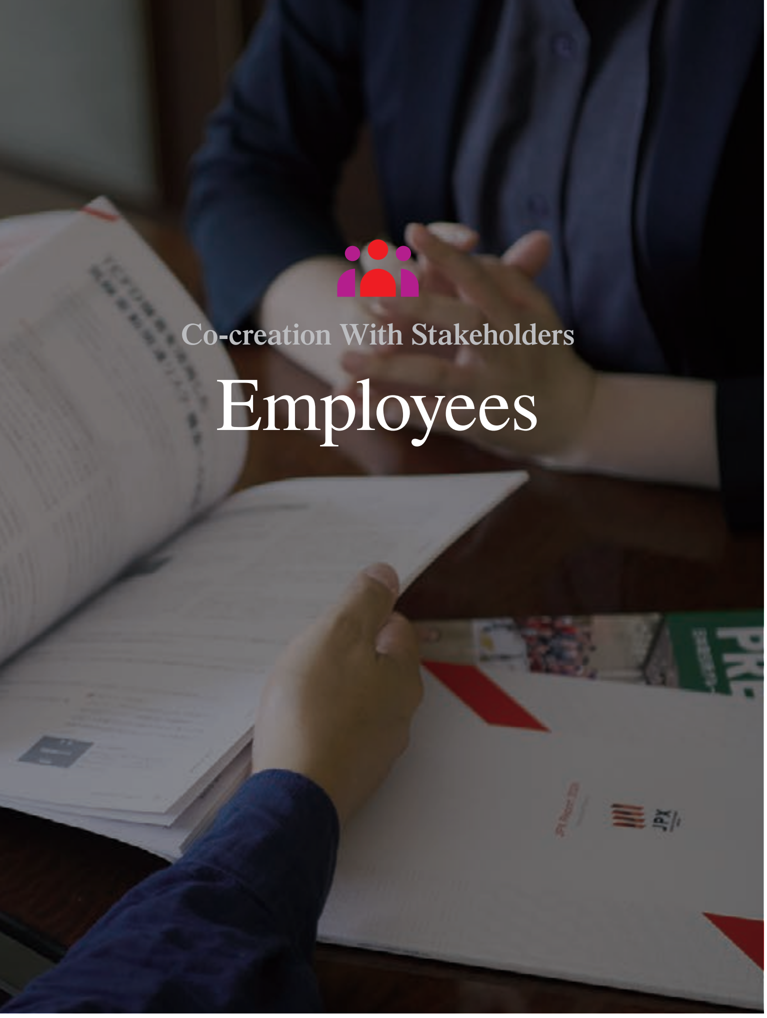
Moreover, for rights holders who may be negatively impacted by JPX Group, we conduct monitoring through interviews with employees and others, perform objective evaluations using third-party benchmarking tools, and identify and evaluate issues based on information collected through a reporting line on the JPX website, where reporters can remain anonymous. Under JPX Group's business model, the vendors and other partners that support its system infrastructure are relatively important given their close relationship to its business operations and the scale of transactions, and there is a high possibility of appropriate cooperation based on factors such as the length and repeatability of contracts. For these reasons, JPX Group builds relationships with these companies that enable regular dialogue. Furthermore, the perspective of respect for human rights has also been included in the checklist used for potential new business partners, and we strive to prevent and mitigate negative impacts through our business partner evaluation process.

We work to refine this human rights due diligence process through a PDCA cycle, and if a human rights issue requiring a response by JPX Group is identified during the ongoing review process, we will appropriately disclose information on the status of our initiatives.

As Tokyo Stock Exchange and Osaka Exchange have offices in London, where they conduct research and promotional activities, JPX has published statements (English only) in compliance with the UK Modern Slavery Act since FY2022.

Grievance Mechanism

JPX Group maintains a line of communication via its website, available to all people connected to its business activities. JPX Group accepts anonymous consultations and reports, prioritizing the protection of reporters' privacy. If it becomes clear that JPX Group has caused or contributed to an adverse impact on human rights, it will work with relevant departments to take appropriate remedial action.



Co-creation With Stakeholders

Employees

Approach

The propensity for creating public benefits and contributing to society is embodied in the corporate philosophy of JPX Group and is one of the hallmarks of the Group's business. As such, resonance with the Group's corporate philosophy is the source of its high retention rates and employee engagement. Under this corporate philosophy, the Medium-Term Management Plan 2027 includes three indicators (Work Engagement, Employee Development, and Permeation of Corporate Philosophy) as the main KPIs (non-financial commitments) for strengthening the Group's human resources. By aiming to maintain high levels on an ongoing basis as we take our initiatives forward, we will build up the genuine strength of our human resources and ultimately realize our medium- to long-term vision.

Initiatives

Recruitment and Development of Human Resources

When it comes to the human resources profile sought by JPX Group, we actively hire talent with our sights set on further stabilization and sophistication of traditional exchange operations with the aim of attaining our long-term vision to be achieved by 2030. As such, we hire people who identify with JPX Group's public mission and are capable of earnestly carrying out tasks necessary for stable market operations with a strong sense of duty and responsibility, people who demonstrate advanced communication skills and see themselves as connectors between the Group and its diverse stakeholders, and people who aim for higher achievements because they are not satisfied with the status quo. In furthermore seeking to address diversifying market needs accompanying advancements in digital technology, we are now actively hiring through our "Digital Solutions Track," established in FY2023, under which employees specialize in the digital networks field, particularly in terms of developing and operating core systems and information systems.

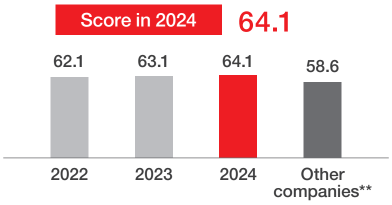
In addition to people who are to underpin further stabilization and sophistication of traditional exchange operations, we have a strong need for innovation in terms of taking on bold challenges beyond the conventional wisdom of the exchange so that we might contribute to improving the attractiveness of Japanese financial and capital markets as a whole. We value people who have the strength and toughness needed to take on leadership in developing new domains, making it possible to explore and build this new form of next-generation exchange. To make inroads into new sectors and fields, we need people who are well versed in both business and digital technology, capable of transforming our businesses enlisting such knowledge and experience, and people who will promote the automation of operations, process reform, and other advances to better allocate human resources to the task of discovering new sectors and fields. Through the Digital Solutions Track established in FY2023, JPX Group will add more people who want to build their careers in the IT divisions, mainly development and operation of core systems and information systems, thereby invigorating job rotations in operational and IT departments and enhancing the development of staff who can bring change through expertise in both business and digital technology. JPX Group intends for this to also lead to the hiring and development of personnel with the advanced expertise needed to respond to rapidly developing technology.

Also, in order for JPX to evolve into a global, comprehensive finance and information platform, we require people equipped not only with foreign language skills, but also with the skills and mindset necessary to drive global business, for example by effectively sharing JPX's work with the outside world. We consider work experience in a global environment to be extremely important for acquiring such skills and mindset, and will accordingly continue to actively recruit and develop employees equipped with such experience.

Main KPIs (non-financial commitments) for strengthening the Group's human resources

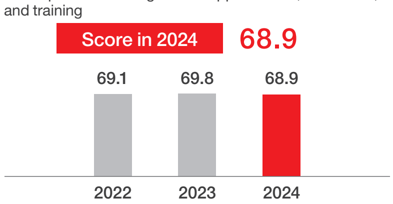
Work Engagement

Indicator of vitality, passion, and immersion in work



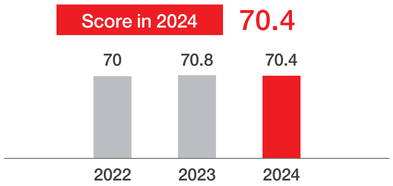
Employee Development*

Indicator of environment created for employee development including related opportunities, motivation, and training



Permeation of Corporate Philosophy*

Indicator of identification with corporate philosophy, feelings about the meaning of work, sense of responsibility, etc.



*A unique JPX Group indicator that scores questions selected from the overall survey to measure "employee development" and "permeation of corporate philosophy."
**An average value of other companies calculated by the engagement survey contractor used by JPX.

From the perspective of skills development, based on the belief that the growth of individual employees leads to the growth of the company, we provide skills development programs that support the well-balanced acquisition of the techniques, knowledge, and other skills necessary for JPX Group's operations, as shown in the diagram.

In particular, the use of programs that support employees' voluntary learning reached a total of 530 users in FY2024, significantly exceeding the target of 350. Aiming to further develop an environment that allows employees to take the initiative to absorb specialized knowledge and the latest information to acquire a broader perspective and the ability to think more openly, the goal for FY2025 is to exceed 500 employees again.

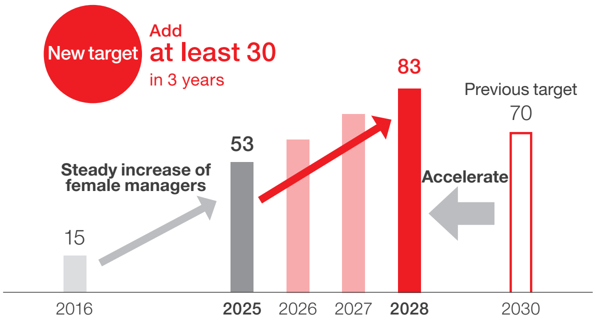
		Staff		Management / Executive management	
		New graduates	Younger employees to pre-management	New managers	Mid-level managers / Executives
Business experience	General	Introductory and on-the-job training			
	Finance		Secondment to domestic/overseas financial institutions		
	IT		Secondment to system vendors, IT consulting firms, etc.		
	Global		Experience in overseas offices		
			Secondment to related overseas institutions		
Knowledge sharing	Career nurturing Self-improvement	JPX College (community where employees mutually teach and learn) Career support training, employee-led training on specific topics, diagonal mentorship program, discussion community, etc.*,**,***			
Training		"Career design support" program (up to JPY 300,000 annually), incentive program for acquiring qualifications, Udemy Business			
	Career development training	Graduate training	Younger employee training / Pre-management training	New manager training	Mid-level manager training/ Executive training
		Training for SS Track employees			
	Legal compliance Diversity	Information security training			
		Training on harassment and bullying, the JPX Code of Conduct, compliance, and insider trading regulations			
	Securities	Support for acquisition of securities analyst certification			
	IT	Online training, qualification maintenance training, training for new IT staff, training within IT divisions			
		Group training	Quality control training, IT professional training		
			Training for DX/digital personnel development		
	Global	Intensive language learning programs, support for TOEIC exams			
	Studying abroad	Sponsored MBAs at domestic and overseas universities			
	Others	Healthcare seminars (sleep, diet, exercise, etc.)			
		Self-care training		Career/life planning seminars	

*Career support training: training in which an employee lectures on the missions and duties of a particular department and their own career path, for example.
**Diagonal mentorship program: mentoring system designed to foster the building of "diagonal relationships" within the organization regardless of department.
***Discussion community: a community where employees can comfortably discuss with other employees about their past experiences on certain projects, how they approach work, or other topics, and gain insights while interacting with other employees.

Enabling All Employees to Demonstrate Their Abilities

JPX Group engages in various initiatives to ensure active participation of a wide range of employees regardless of gender, nationality, age, or other characteristics. With respect to encouraging active participation of women in the workplace, we have set promotion targets. FY2022 saw the first internal promotion of a female employee of JPX Group to the position of executive officer. In FY2024, three female employees have also been promoted to department/section director level positions. As of March 31, 2025, the Group had 48 female employees in managerial positions, comprising 9.0%. As of April 2025, we have exceeded our target of at least 50 female employees in management positions (a roughly 50% increase from FY2021), with 59 female employees in management positions (comprising 10.4%). Taking the above circumstances into account, we have set new targets for promoting female employees to management positions so as to increase the number of candidates for promotion to officer or department director level. Specifically, our objective is to increase the number of female employees in management positions who lead and train non-management employees by at least 30 from the current level of 53 (as of April 2025) over the next three years.

Female Employees in Management Positions



(Female managers responsible for leading and training non-managers)

Employee Health and Safety

JPX Group's efforts to promote health management have mainly involved collaboration with occupational physicians, such as providing support for sick and injured employees to receive proper care and return to work as soon as possible. In FY2024, there were 11 sick or injured employees, and JPX Group achieved an overall health risk score of 82 on stress checks. Also, JPX Group has employed a public health nurse since FY2022 and has systems in place to facilitate consultation, discussion, education, information provision, and the like regarding physical and mental health. Additionally, in FY2023, JPX Group established a cross-departmental Wellness Promotion Committee and a Wellness Promotion Group in the Human Resources Department to strengthen systems for promoting health management (e.g., health management initiatives, internal dissemination of information). In the future, we will focus on carrying out activities to prevent sickness and injury, in order to create an environment in which each and every employee can demonstrate their abilities to the fullest.

Corporate Culture and Mindset

Premised on the notion that developing the corporate culture and other such underlying shared values is important in ensuring that all employees demonstrate their abilities to the fullest, JPX Group has identified the following elements as "key strengths of corporate culture to uphold going forward" and "mindsets to further encourage going forward."

Given that our corporate culture is one of our strengths, we make absolutely sure it is passed on through, for example, arranging opportunities for dialogue between management and younger employees and promoting opportunities for communication among employees. While this corporate culture is passed on, we believe it is important to instill awareness of and further cultivate the mindsets of "self-growth," "pioneering," "contributing to the organization," and "developing subordinates and juniors," and we encourage the firm establishment and extension of these through the employee evaluation system, among other things.

Key strengths of corporate culture to uphold going forward

- Permeation and appeal of the corporate philosophy
- Sense of duty for stable market operations
- Openness

+

Mindsets to further encourage going forward

- Self-growth
- Pioneering spirit

- Contributing to the organization
- Developing subordinates and juniors

Toward the Success of All Employees
https://www.jpx.co.jp/english/corporate/sustainability/jpx-esg/employee/index.html

Employee-Related Data

	FY2020	FY2021	FY2022	FY2023	FY2024
No. of employees*, **, *** Total	1,196	1,199	1,224	1,236	**1,248**
Male	859 (71.8%)	849 (70.8%)	861 (70.3%)	863 (69.8%)	**872 (69.9%)**
Female	337 (28.2%)	350 (29.2%)	363 (29.7%)	373 (30.2%)	**376 (30.1%)**
Non-Japanese	17 (1.4%)	16 (1.3%)	17 (1.4%)	16 (1.3%)	**15 (1.2%)**
Mid-career hires	331 (27.7%)	371 (30.9%)	389 (31.8%)	388 (31.4%)	**393 (31.5%)**
No. of hires** New graduates	25	25	27	30	**30**
Female	11	11	12	12	**12**
Non-Japanese	1	0	0	0	**0**
Mid-career hires	14	18	26	13	**18**
Female	0	5	10	3	**5**
Non-Japanese	0	0	0	1	**0**
No. of voluntary resignations All (% of all employees)	10 (0.8%)	18 (1.5%)	9 (0.7%)	21 (1.7%)	**16 (1.3%)**
Male	8	14	7	16	**11**
Female	2	4	2	5	**5**
Average years of service*, *** All	17.3	17.5	17.6	17.7	**17.9**
Male	16.8	17.0	17.3	17.5	**17.8**
Female	18.8	18.6	18.3	18.2	**18.0**

(This data pertains to JPX and its core subsidiaries (excluding persons such as those temporarily assigned by JPX or any of its core subsidiaries to outside entities and those dispatched from temporary staffing agencies, but including persons temporarily assigned by outside entities to JPX or any of its core subsidiaries, employees on non-regular contracts such as those rehired after mandatory retirement, and persons on maternity/childcare leave).)
*All figures are as of the respective ends of the fiscal year.
**Some employees may be counted in more than one category.
***FY2020 and FY2021 include employees of Tosho System Service Co., Ltd., which merged in FY2022 with JPX Market Innovation & Research, Inc., a JPX subsidiary (however, for FY2020, they are excluded from the "Non-Japanese" and "Mid-career hires" subcategories under "No. of employees").

Health Management-Related Data

	FY2020	FY2021	FY2022	FY2023	FY2024
Ratio of employees undergoing annual health check	65.1%	92.3%	96.5%	94.0%	**95.3%**
Ratio of employees who smoke	11.9%	9.8%	10.6%	9.5%	**8.1%**
Ratio of employees answering annual stress check survey	91.1%	90.6%	95.2%	97.2%	**95.2%**
Number of sick or injured employees	6	3	1	9	**11**
Average overtime hours	27 hours and 35 minutes	28 hours and 15 minutes	27 hours and 46 minutes	24 hours and 55 minutes	**23 hours and 27 minutes**
Average days of paid leave taken (usage rate)****	12.0 days (60%)	12.2 days (61%)	12.6 days (63%)	14.0 days (70%)	**13.6 days (68%)**

(This data pertains to JPX and its core subsidiaries (including persons such as those temporarily assigned by JPX or any of its core subsidiaries to outside entities and employees on non-regular contracts such as those rehired after mandatory retirement, but excluding persons temporarily assigned by outside entities to JPX or any of its core subsidiaries and those dispatched from temporary staffing agencies).)
****Denominator includes persons on long-term leave.

Co-creation With Stakeholders

Trading Participants

Approach

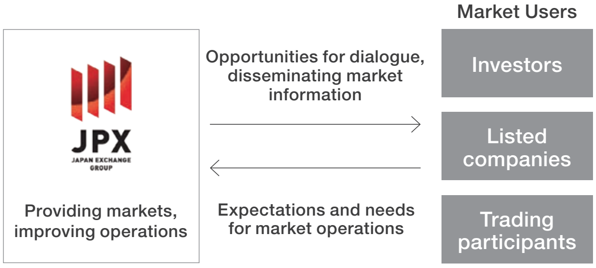
Through "Forge a new era for the Japanese stock market," a core theme in the Medium-Term Management Plan 2027, we will strive to enhance the attractiveness and global competitiveness of the Japanese market and conduct sustainable market operations.
Toward this end, it is essential to build trust-based cooperative relationships with trading participants. JPX Group creates various opportunities to engage in dialogue with trading participants for the purpose of ensuring market transparency and further improving convenience.

Initiatives

Market Operating Committee

JPX Group has established a market operating committee for each respective market operator, such as Tokyo Stock Exchange (TSE), as an advisory committee to the board of directors composed of academic experts, trading participants, institutional investors, and persons with other areas of expertise. With the aim of creating even more convenient markets, outside expert opinions are considered in decisions on important matters, such as listing new products, establishing new markets, and revising rules or frameworks.

Mutual Understanding Through Dialogue



Reduction of Investment Units

TSE has been working to downsize investment units for some time now, but the investment unit for Japanese stocks has remained high compared to many countries. Amid the growing importance of promoting asset formation and expanding the investor base with the launch of the new NISA scheme and other developments, we established the "Study Group on Small-Size Investments" to create an environment that facilitates investment by retail investors and worked with market stakeholders, such as trading participants and institutional investors, from October 2024 to April 2025 to consider issues and measures toward the achievement of that goal.

Regarding the reduction of investment units, this study group reconfirmed the significance of matters including (i) the promotion of investment in Japanese stocks and (ii) the curbing of excessive price fluctuation and improvement of market liquidity. It also confirmed that it is important that each listed company voluntarily considers the investment unit level and measures for reducing it by taking into account the level sought by retail investors (around JPY 100,000 according to our survey of retail investors) after considering its ideal medium- to long-term capital policy.

TSE continues to promote and support listed companies' initiatives, such as by disseminating information, while striving to realize a more appealing market.

Co-creation With Stakeholders

Business Partners

Approach

We will improve the efficiency of the overall market and generate and share data that will contribute to the development of the market by utilizing digital technologies in order to improve the convenience of our data and other services and to provide solutions for cross-industry issues.
Utilizing investment, collaborations, and other structures, we co-create digital innovations with a wide range of business partners who possess highly convenient platforms and the necessary skills and expertise.

Initiatives

Expanding Access to Financial Market Data Through Partnership with Snowflake

In February 2025, JPX Market Innovation & Research, Inc. (JPXI) and Snowflake, an AI data cloud company operating a market-leading data analysis platform, announced a priority partnership in the data dissemination business. Accordingly, the sharing of J-Quants Pro datasets, which provide wide-ranging data on the Japanese market, commenced on the Snowflake data cloud platform from April 2025. This has enabled market participants to acquire data from the "golden source" of the Japanese financial market through a new channel and facilitated the cost-effective development of data analysis environments.

This initiative utilizes J-LAKE, JPX's integrated data services platform. J-LAKE centralizes data management within JPX Group, including JPX's market data, information on market participants, listed companies, and customers, and a wealth of alternative data and internal knowledge. Through J-LAKE, we will conduct multifaceted analysis on this data and develop and provide new services to meet diverse client needs. In providing new data distribution services, we will not only develop services within the existing framework of analyzing customer trends, conducting interviews, and collaborating with existing partner companies but will also seek to collaborate with new vendors, startups, and platform providers, with the aim of creating services that provide new value. The partnership with Snowflake is a representative example of the new value created by the J-LAKE platform.

Snowflake's Managing Director Ukita Ryuji also expressed expectations stating, "By combining JPXI's J-LAKE platform with Snowflake's AI Data Cloud, we believe that we can create an environment where more market participants can access varied data offerings with more ease, efficiency, and convenience, thereby expanding the potential for innovative data usage."

J-LAKE snowflake

Co-creation With Stakeholders

Government and Securities-Related Organizations

Approach

JPX Group is working with government and securities-related organizations in Japan and abroad to address a wide range of market-related needs and social issues. Recently, we have been communicating the appeal of the Japanese market and JPX to the world in addition to deepening dialogue with Japanese and overseas stakeholders. Promoting global understanding of the Japanese market also strengthens engagement. We will continue to ensure that there is trust in the Japanese market and contribute to a sustainable society.

Initiatives

Active Promotion of the Japanese Market

JPX Group holds and participates in events to communicate the appeal of the Japanese market in cooperation with government agencies and related organizations.

With the Japanese economy at a turning point, the Japanese market is transitioning to the next phase and showing signs of further development. However, Japan's positive changes are not yet well known. Particularly overseas, there are many investors who have not realized the investment appeal of the Japanese market. Therefore, we are actively disseminating current events in real time and engaging in initiatives to widely convey such appeal.

Together with the Japan Securities Dealers Association (JSDA), we hold the annual Japan Securities Summit, bringing together market stakeholders and investors. We held the 14th Japan Securities Summit in New York in March 2025, with approximately 200 local investors and others in attendance (co-hosted by the Securities Industry and Financial Markets Association (SIFMA)). The appeal of the Japanese market and initiatives of the exchange were introduced in a keynote speech by CEO Yamaji, and expectations for the growth of Japanese companies were shared by institutional investors and economists in a panel discussion moderated by Executive Officer Yoshida. A powerful message was sent by Japan with a video message from Prime Minister Ishiba and an introduction of government initiatives from the Financial Services Agency (Vice Minister for International Affairs Ariizumi). Executive Officer Yoshida also gave a presentation to an Investor Roundtable convened by the Organization of Global Financial City Tokyo (FinCity.Tokyo) in New York around the same time. In this way, we are working on our own initiatives while cooperating with a wide range of government agencies and related organizations so as not to miss out on opportunities.

Increasing Familiarity With Securities Investment

JPX Group is working in cooperation with securities-related organizations to help individuals feel a familiarity with securities investment and utilize investments for future asset formation.

The new NISA scheme is a tax exemption program for small investments that was radically expanded and made permanent from January 2024. The cumulative amount purchased through new NISAs has already exceeded the government target of JPY 56 trillion in February 2025, indicating that the shift "from savings to investment" is becoming established. There are expectations that a "virtuous cycle of growth and distribution" will be realized, with household investment supporting corporate growth and the fruits of such growth being returned as household income.

To encourage this shift, JPX Group has held various events together with the Financial Services Agency, JSDA, the Investment Trust Association, and others.

October 4 has been designated "Securities Investment Day" based on a pun made by combining "10 (tō in Japanese)" and "4 (shi in Japanese)" where tōshi translates into English as the term "investment." In 2024, COO Iwanaga gave a presentation on the eve of the two-day Securities Investment Day event. In addition, February 13 has been designated "NISA Day" based on a pun made by combining "2 (ni in Japanese)" and "13 (isa in Japanese)." In 2025, we held an event titled "This year! Learn from scratch at the 'NISA classroom'" on February 12. The objective was to create opportunities to gain a deeper understanding of the new NISA scheme and think about the importance of asset formation and securities investment, with events such as talk shows with celebrity guests, field trips for elementary school students, and fun and hands-on learning booths.

Our current environment makes it easy for anyone to access an abundance of information. When forming assets, it is important to make decisions based on accurate knowledge and information. As a result, the importance of financial and economic education is increasing.

JPX Group is engaged in comprehensive financial and economic education for all ages under the "JPX Manebu Lab" brand, which was launched in 2022. Since 2024, we have focused on investment education and sharing the appeal of Japanese stocks in response to the need for exchange-specific activities and lecture themes. At Tokyo Sustainable Finance Week 2024, convened by FinCity.Tokyo, we co-hosted seminars for all ages under our "Seminar Manebu" program.

In addition, together with the Ministry of Economy, Trade and Industry and others, we select and publish lists of TSE listed companies based on specific themes and indicators. Specifically, these are "Nadeshiko Brands," focused on the theme of women's participation; "KENKO Investment for Health Stocks" for companies that carry out strategic management initiatives related to employee health and productivity; "DX Stocks" for companies that boldly reform their business models and management practices based on digital technologies, and "SX Brands" for progressive companies that are enhancing their ability to create a source of funds for growth in a sustainable manner, using sustainable transformation (SX) to improve their corporate value.

We will continue these initiatives with government and related organizations so that they become a catalyst for arousing interest in asset formation and securities investment.

Cooperation With International Organizations

JPX Group gathers information and expresses its opinion in relation to global regulatory trends through international organizations, including the World Federation of Exchanges (WFE), the International Organization of Securities Commissions, and the Sustainable Stock Exchanges Initiative (hereinafter referred to as the "SSE Initiative").

The WFE is an industry association composed of members from exchanges and clearing houses around the world and is engaged in making policy recommendations and conducting surveys and research about capital markets. Recently, the core themes have been the impact of technological innovation on financial market infrastructure and sustainable finance-related issues. JPX Group actively participates in these activities as a member of the WFE's Board of Directors.

Furthermore, every year, JPX Group celebrates the UN-designated March 8 International Women's Day with a "Ring the Bell for Gender Equality" ceremony, co-hosted by the WFE, SSE Initiative, and others. This year, many relevant international organizations participated in the ceremony to disseminate these activities more widely overseas.

In Asia, JPX Group has aimed to strengthen its relationships with Asian exchanges by serving as the Secretariat for the Asian and Oceanian Stock Exchanges Federation since its establishment as a regional federation of 17 stock exchanges in the Asia-Oceania region. Through the activities of this federation, JPX Group has been responsible for conducting surveys and research and managing general meetings as well as holding various events throughout Asia. This year, we have provided opportunities for online discussion and held webinars, focusing on themes of high interest for members, such as initiatives to improve the corporate value of listed companies.

Lastly, JPX Group provides technology support/training programs to the employees of securities exchanges and regulatory authorities in developing countries to support the development of overseas capital markets. Through such initiatives, we aim to fulfill our social responsibilities as a company and to create long-term business synergies while promoting cooperation with relevant overseas institutions.

Securities Summit
Panel discussion

NISA Day
Investment promotion event